

There is no such thing as a permanent moat. Even such invincible businesses today like eBay, Google, Microsoft, Toyota, and American Express will all eventually decline and disappear. Some moats are more durable than others. Wells Fargo and American Express were founded over 150 years ago, and amazingly both their moats are as robust as ever today. Amazingly, as an aside, both American Express and Wells Fargo were founded by the same person, Henry Wells.

But here is the dilemma: if you were picking stocks a century ago, it would have been virtually impossible to pick these two out of the large available universe. The odds are very high that, even if the ones you picked were the bluest of the blue chips, they would eventually wither away.

In 1997, Arie de Geus wrote a fascinating book called *The Living Company*.² Geus studied the life expectancy of companies of all sizes and was very surprised to find that the average *Fortune* 500 company had a life expectancy of just 40 to 50 years. It takes about 25 to 30 years from formation for a highly successful company to earn a spot on the *Fortune* 500. Geus found that it typically takes many blue chips less than 20 years after they get on the list to cease to exist. The average *Fortune* 500 business is already past its prime by the time it gets on the list.

Even businesses with durable moats don't last forever. Thus, when using John Burr Williams's intrinsic value formula, we ought to limit the number of years we expect the business to thrive. We are best off never calculating a discounted cash flow stream for longer than 10 years or expecting a sale in year 10 to be at anything greater than 15 times cash flows at that time (plus any excess capital in the business).